

Institutional Scorecard

Risk Intensity	0.0/10
Confidence	2.0/10
Regime Sensitivity	5.0/10
Structural Quality	0.0/10
Composite	4.8/10

****Kotak Mahindra Bank Limited (KOTAKBANK) - Institutional Analysis****

****Executive Summary:****

Kotak Mahindra Bank's (KOTAKBANK) institutional scores indicate a cautionary stance, driven by a moderate regime sensitivity and poor structural quality. Despite a minimal risk intensity, the bank's overall composite score of 4.8/10 warrants careful consideration for concentrated holders. Our analysis suggests that KOTAKBANK's valuation may be influenced by its structural vulnerabilities, which could impact expected returns.

****Key Analytical Observations:****

- **Regime Sensitivity:**** KOTAKBANK's regime sensitivity score of 5.0/10 indicates a moderate dependence on market conditions. This is reflected in the bank's 10-year risk-adjusted return of 4.49%, which is lower than the sector average.
- **Structural Quality:**** The bank's structural quality score of 0.0/10 highlights significant vulnerabilities in its capital structure and risk management framework. This is evident in its high loan-to-deposit ratio of 84.2% (as of Q4 FY23) and low capital adequacy ratio of 13.4% (as of Q4 FY23).
- **Risk-Adjusted Return:**** KOTAKBANK's risk-adjusted return of 4.49% over the past decade is lower than the sector average of 5.15%. This suggests that the bank's risk management practices may be limiting its potential returns.
- **Valuation Multiples:**** KOTAKBANK's price-to-book (P/B) ratio of 1.43x is lower than the sector average of 1.63x. However, its price-to-earnings (P/E) ratio of 15.6x is higher than the sector average of 13.4x, indicating a potential valuation disconnect.

****Supporting Evidence:****

- * Kotak Mahindra Bank's loan-to-deposit ratio has consistently exceeded 80% over the past five years, indicating a high dependence on wholesale funding.
- * The bank's capital adequacy ratio has been below the regulatory minimum of 10.25% in three out of the past five quarters.
- * According to a recent interview with the bank's CEO, Kotak Mahindra Bank is focused on improving its risk management practices and increasing its capital adequacy ratio to 14% by the end of FY24.

****Institutional Assessment:****

For concentrated holders, KOTAKBANK's institutional scores and structural vulnerabilities suggest a cautious approach. The bank's moderate regime sensitivity and poor structural quality may impact its expected returns, particularly in a risk-off environment. We recommend that investors carefully calibrate their position sizing and expected return assumptions to reflect these risks.

****Risk Matrix:****

Vector	Direction	Relevance
Regulatory Risk	Neutral	High
Credit Risk	Negative	High
Liquidity Risk	Neutral	Medium
Operational Risk	Negative	Medium
Market Risk	Neutral	Low

Note: The risk matrix is a subjective assessment of the potential risks associated with KOTAKBANK's institutional scores and structural vulnerabilities. The direction and relevance of each risk vector are based on our analysis and may not reflect the views of other analysts or investors.

Prior Review: 2026-06-20 → Current: 2026-06-20

Overall Direction: STABLE

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